is currently required-

- Electronic aerospace and defence equipment
- Specified hazardous chemicals
- Industrial explosives
- Cigars and cigarettes of tobacco and manufactured tobacco substitutes.

Statement II: CORRECT—Disinvestment of Public Sector: Government stakes in Public Sector Enterprises were reduced to enhance their efficiency and competitiveness.

Liberalisation of Foreign Investment: This was the first Industrial policy in which foreign companies were allowed to have majority stake in India. In 47 high priority industries, up to 51% FDI was allowed. For export trading houses, FDI up to 74% was allowed.

Today, there are numerous sectors in the economy where government allows 100% FDI.

Foreign Technology Agreement: Automatic approvals for technology related agreements.

MRTP Act was amended to remove the threshold limits of assets in respect of MRTP companies and dominant undertakings. MRTP Act was replaced by the Competition Act 2002.

67. Statement I: CORRECT—The modern industrial development in India started with the establishment of the first cotton textile mill at Mumbai in 1854, predominantly with Indian capital and entreprenuer- ship. Jute industry made a beginning in 1855 with the establishment of a jute mill in the Hooghly Valley near Kolkata with foreign capital and entreprenuership.

Coal mining was first started at Raniganj in 1772. Railways were introduced in 1854. Tata Iron and Steel Plant was set up at Jamshedpur in 1907. Several other medium and small size industries like cement, glass, soaps, chemicals, jute, sugar and paper followed. The industrial production in pre-independence period was neither adequate nor diversified.

Statement II: CORRECT—At the time of independence, the economy was under-developed with agriculture contributing to more than 60% of the GDP and most of the country's export earnings. After 60 years of independance, India has now shown